

Understanding the Demand Planning app in Dynamics 365 Supply Chain Management and how it connects to Master Planning



Demand planning

In today's fast-paced market, predicting what your customers want is key to staying ahead.

This is where Demand planning comes in. It's about looking at past sales, market trends, and seasonal patterns to estimate future customer demand.

The goal? - making sure your business can meet those needs without overproducing or running out of stock.

Demand planning is the starting point of the supply chain. If your forecasts are off, it can lead to lost sales or wasted resources. At its core, demand planning helps strike a balance between what customers want and what your business can supply, helping to avoid both shortages and overstock.

Master planning works hand in hand with demand planning. While *Demand planning* focuses on ***what*** customers are likely to want, *Master planning* figures out ***how*** to meet that demand. It looks at current inventory, production capacity, and materials, and calculates what you'll need to produce, purchase, or transfer to stay on track.

In Dynamics 365 Supply Chain Management, the *Master plan* takes the forecast calculated by *Demand planning* and turns it into actual plans for buying products and materials, manufacturing products, and managing stocks. The connection between demand and master planning is essential for a supply chain that runs smoothly. If demand forecasts are unreliable, master planning can't

work efficiently. That's why it's so important to have a strong link between the two so that supply matches demand as closely as possible.

The Demand planning app in Dynamics 365 Supply Chain Management - a smarter way to forecast

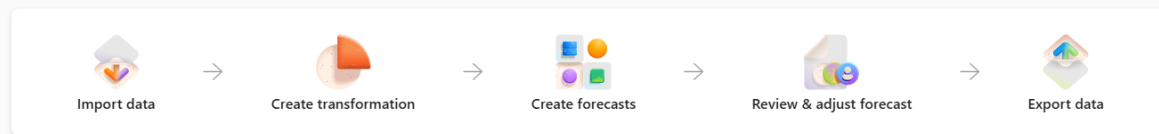
The Demand Planning app in Dynamics 365 Supply Chain Management gives businesses a structured way to build demand forecasts.

Instead of relying on manual work or guesswork, companies can use historical data, advanced forecasting driven by AI and machine learning, and collaboration tools to create more accurate and reliable forecasts.

The end result? – A data-driven forecast that helps you make better supply chain decisions, plan smarter, and reduce waste while collaborating across the supply chain.

The solution follows 5 clear steps to go from raw data to a usable forecast. This consistency helps create more reliable forecasts across the business.

Get started by importing your own data, or jump in right away with built-in sample data.



The 5 Steps on Demand Planning Forecast Building

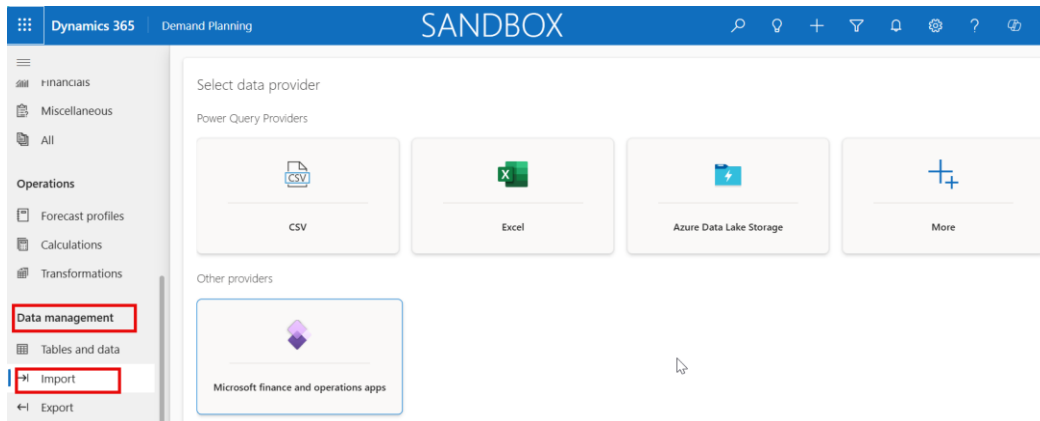
Step 1: Import your data

Start by bringing in the right data.

This includes past sales, product details, warehouses, locations, pricing information, and more.

Tips: A reliable forecast is built on a minimum of a 3-year sales history.

You can pull this data from Dynamics 365 Supply Chain Management or outside sources like Azure Data Lake, CSV files, or Excel sheets. The app is flexible and works with different systems, so even companies not fully using Dynamics 365 Supply Chain Management can still benefit.



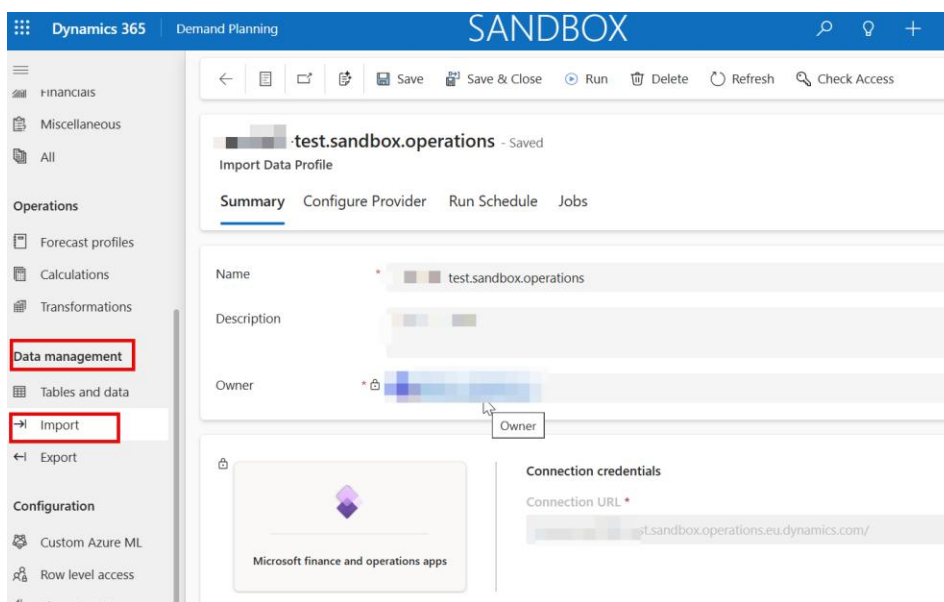
Import sources available on demand planning

Easy integration with Dynamics 365 Supply Chain Management

Demand planning integrates fully with Dynamics 365 Supply Chain Management. The connection between the two systems is easy to set up and doesn't require any complex configurations.

This includes setting up the right number sequence in Dynamics 365 Supply Chain Management and linking the Demand Planning app through a URL in the system settings.

Once connected, the data flows directly between the Demand Planning app and Dynamics 365 Supply Chain Management. This makes it simple to move from forecasting to action, like purchasing or production planning, without needing manual steps or duplicate data entry.



Integration with Dynamics 365 SCM setup

Data import is **the most important step** in the process, and businesses must focus on data quality.

Why does data quality matter?

Reliable forecasts start with high-quality data. If your data is incomplete, outdated, or inconsistent, the results from the demand planning process will not be accurate. This can lead to wrong decisions, overstocking, understocking, or missed sales. That's why it's important to have good data routines in place. The cleaner and more complete your data is, the better your forecast will be.

Step 2: Transform the data

After importing the data, this needs to be organized into a time series format - for example- daily, weekly, or monthly, so it can be ready for forecasting. In this process, you choose which columns you want to use, you set the time periods, and you define dimensions. The system guides you intuitively through a wizard that helps you create a transformation profile.

The screenshot shows the 'Create new transformation profile' wizard in Dynamics 365 Demand Planning. The sidebar on the left lists various navigation options, with 'Transformations' highlighted. The main content area is titled 'Get started' and contains the following fields:

- Name:** T0005 Historical demand weekly
- Description:** T0005 Historical demand weekly
- Owner:** MR (with a user icon)
- Category:** Miscellaneous (dropdown menu is open, showing 'Miscellaneous' as the selected option)
- Time Bucket:** Weekly (dropdown menu)
- Precision:** 0.01 (dropdown menu)

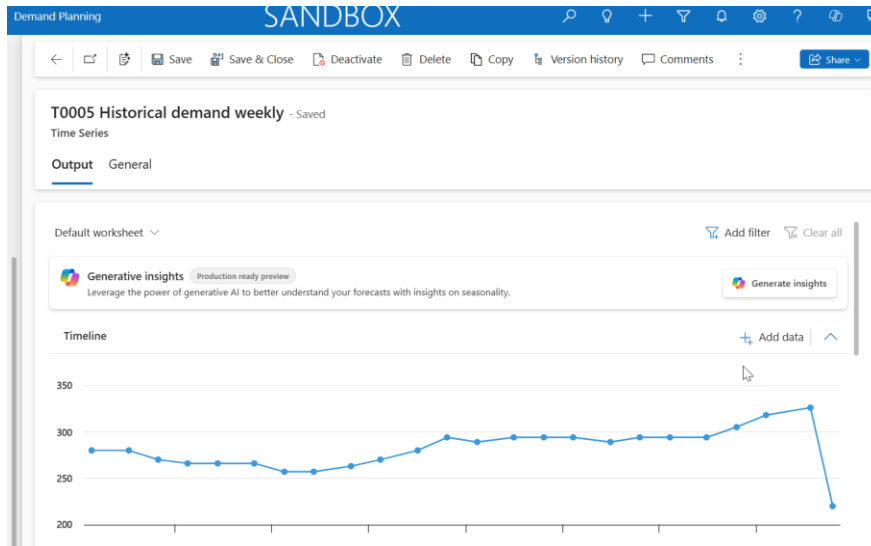
A 'Next' button is located at the bottom of the form.

Transformation profile

You can adjust the data as you need, using the calculation feature. For example, you can shift last year's sales data to create the starting point for next year's forecast, and so on.

Why does this matter?

Transforming the data into a time series is key because it allows the system to identify trends, seasonality, and recurring patterns. These are the building blocks of accurate forecasts.



Output of the transformation job - Time series

Step 3: Create the forecast

Now it's time to build an actual forecast.

After importing the data and transforming it into a time series format, you're ready to build your forecast. Similar to the transformation step, you can create a forecast profile by using the wizard provided by the system.

Creating a forecast profile

The demand planning app includes several building forecasting models, such as ARIMA, Exponential smoothing, and Prophet, as well as a best-fit model.

Configure step: Forecast

Step name
Forecast best fit action

Description

Created by

Model type

- Best Fit Model
- Best Fit Model
- ARIMA
- ETS
- Prophet

2

Only numbers between 2 and 3650 are allowed.

Time Freeze Rule

Cancel Save

Forecast models

The best-fit model automatically tests all three methods and selects the one with the lowest forecast error, so you get the most accurate result from your specific data.

It also includes an autodetect seasonality feature, which is especially useful for products with seasonal demand patterns.

Model type

Best Fit Model

Select seasonality detection setting (preview)

☒ Auto detection

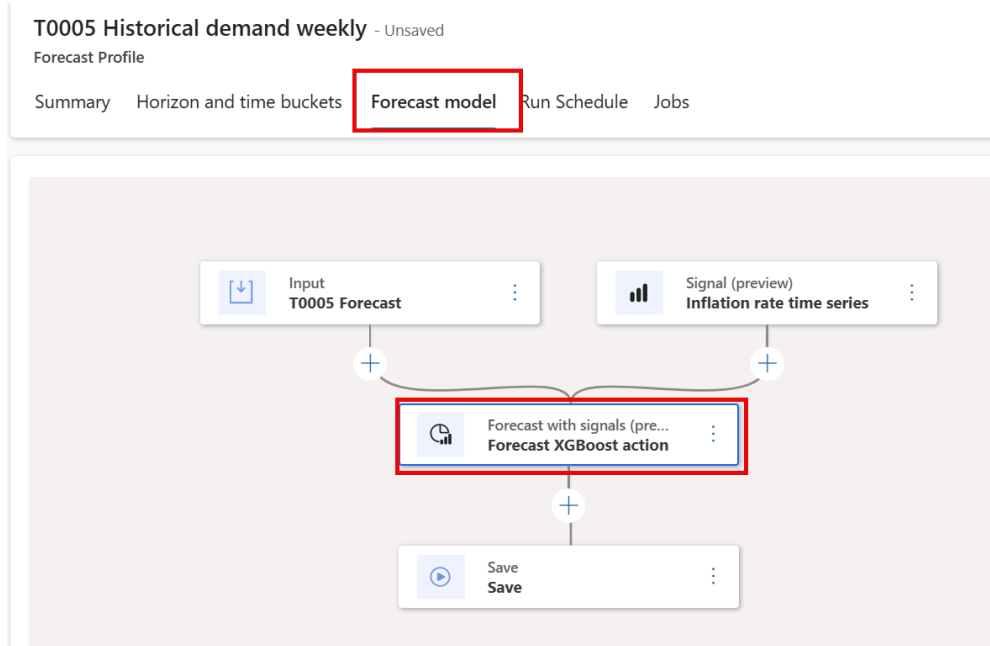
☐ Detection using hint

Seasonality hint (in periods of time buckets)

2

Auto-detection seasonality

The Demand Planning app supports forecasting with signals, both internal signals, such as price history, or external signals, such as inflation or weather data. The forecasting uses historical sales and signals.



Forecast with signals

If your business already uses custom forecasting models, such as those developed in Azure Machine Learning, you can integrate those as well into the demand planning app.

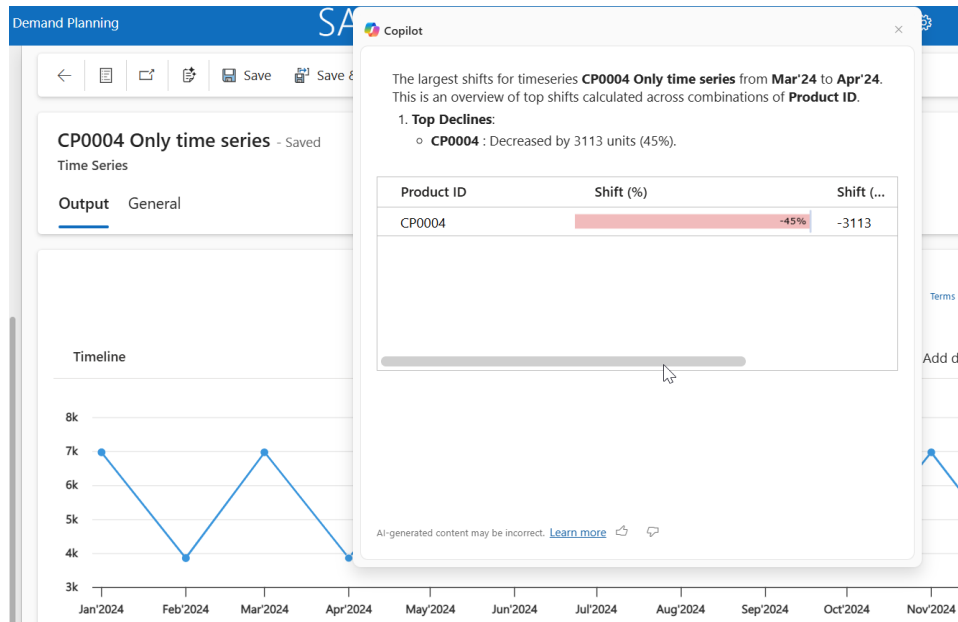
The screenshot shows the Dynamics 365 Demand Planning app interface. The top bar indicates 'Dynamics 365 | Demand Planning' and 'SANDBOX'. The left sidebar contains a navigation menu with categories: Financials, Miscellaneous, All, Operations (Forecast profiles, Calculations, Transformations), Data management (Tables and data, Import, Export), and Configuration (Custom Azure ML, Row level access, Phase In/Out). The 'Custom Azure ML' option is highlighted with a red box. The main area displays the 'New Custom Machine Learning Integration Configuration' form, also highlighted with a red box. The form has a 'General' tab and several required fields (marked with an asterisk): Name, Subscription Id, Resource Group Name, Workspace Name, Storage Account Name, Application Id, Application Secret (with a toggle for visibility), and Owner.

Adding custom forecast models using Azure ML

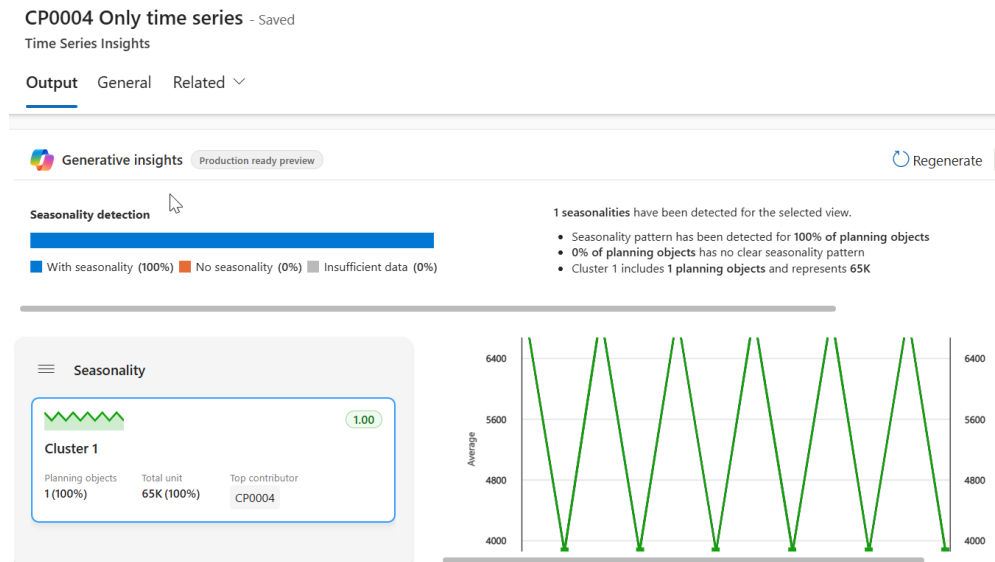
Once the forecast is generated, the system can go beyond just showing the numbers.

It can also provide **generative insights** powered by Copilot, which produces explanations and highlights based on the forecast results. These insights help planners understand not just *what* the forecast says, but also *why* it's changing. This makes it easier to take action, ask the right questions, and adjust the plan if needed.

By turning data into insights, the system saves time and supports smarter decision-making.



Copilot summary

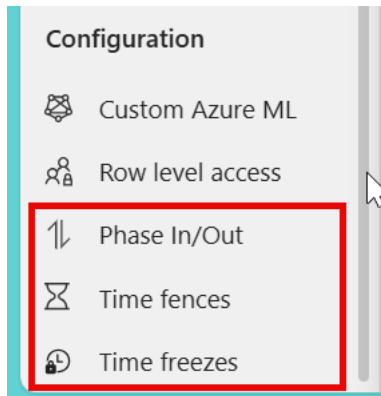


Generative insights

Demand planning allows you to create rules that can be added to the forecast model. You can **freeze forecasts** by using the Time Freeze feature. This prevents the system from updating the forecast within a defined period, based on the rules you set.

If you want to lock a period from being updated by users, the **Time Fence** feature will take care of that.

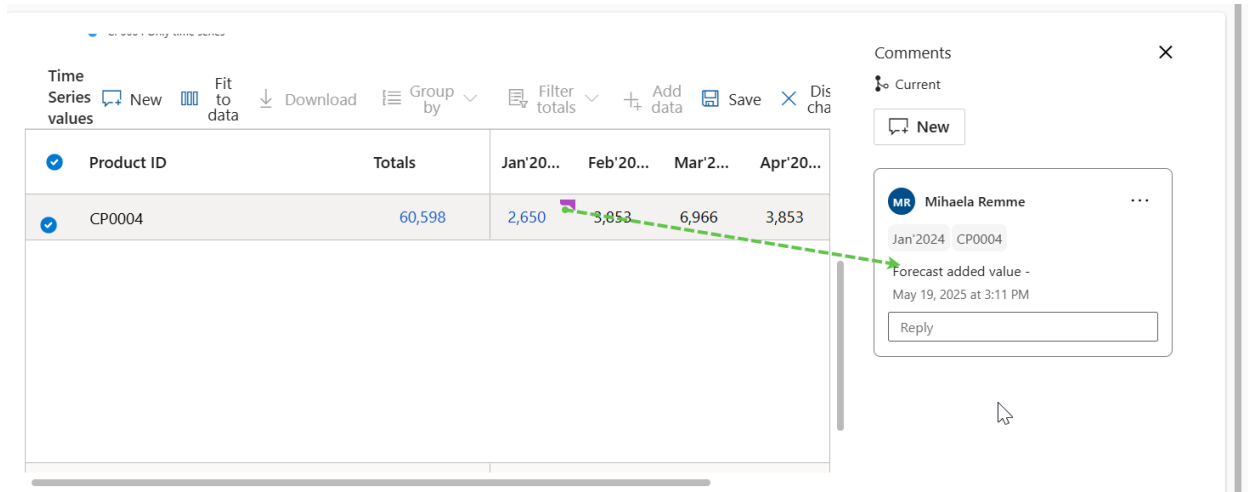
You can also define rules for the **phasing in and phasing out** of products.



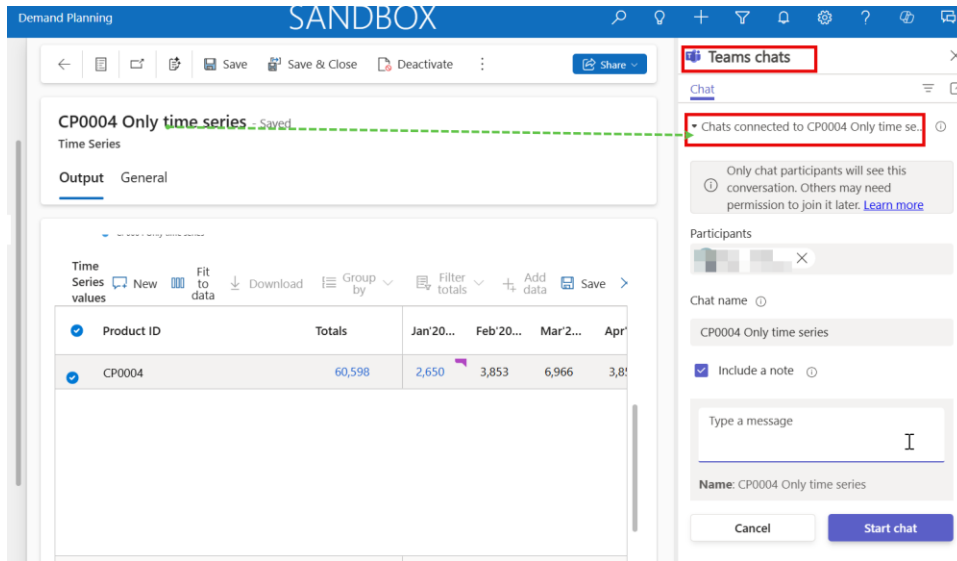
Configuration features in the Demand planning app

Step 4: Review and adjust

Once the forecast is created, planners can review it and make any necessary changes. The app supports collaboration, with features like Microsoft Teams integration and comment boxes, so teams can work together directly in the tool.

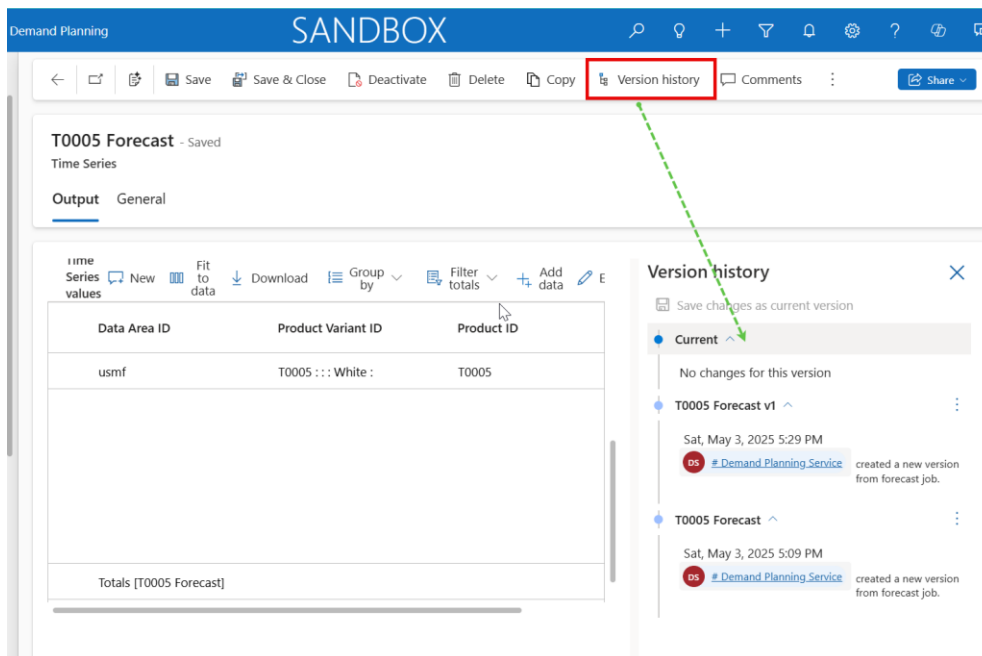


Manually changing the value forecast and making comments.



Collaborate on a plan directly in Teams from the Demand planning app.

You can track different versions of the forecast to learn from past adjustments.



Step 5: Export the forecast

When the forecast is ready, it can be exported to Dynamics 365 Supply Chain Management or other systems. This step is crucial - it allows the forecast to be used in master planning, where it becomes the foundation of supply, production, and inventory decisions.

You start by creating an export profile using the wizard provided by the Demand Planning app. After that, simply run the export job. The forecast will then be imported into Dynamics 365 Supply Chain Management and stored in the Demand Forecast table.

Finance and Operations									
Product information management > Products > Released products									
USMF									
Save + New Delete Forecast balances Cash flow forecasts Display dimensions General ledger preview Transfer quotation lines Engineering change									
Demand forecast, Item number: T0005 T0005 : TelevisionHDTVX59052									
Standard view * v									
Allocate forecast Bulk update Inventory forecast Create item requirement									
	Model	Date	Item number	Product name	Site	Warehouse	Sales quantity	Unit	
	CurrentF	4/6/2026	T0005	TelevisionHDTVX59052 / Televisi...	2	21	306.00	ea	
	CurrentF	3/9/2026	T0005	TelevisionHDTVX59052 / Televisi...	2	21	266.00	ea	
	CurrentF	2/16/2026	T0005	TelevisionHDTVX59052 / Televisi...	2	21	155.00	ea	
	CurrentF	2/9/2026	T0005	TelevisionHDTVX59052 / Televisi...	2	21	191.00	ea	
	CurrentF	1/5/2026	T0005	TelevisionHDTVX59052 / Televisi...	2	21	306.00	ea	
	CurrentF	12/8/2025	T0005	TelevisionHDTVX59052 / Televisi...	2	21	266.00	ea	
	CurrentF	11/17/2025	T0005	TelevisionHDTVX59052 / Televisi...	2	21	155.00	ea	
	CurrentF	11/10/2025	T0005	TelevisionHDTVX59052 / Televisi...	2	21	191.00	ea	
	CurrentF	10/6/2025	T0005	TelevisionHDTVX59052 / Televisi...	2	21	306.00	ea	
	CurrentF	9/8/2025	T0005	TelevisionHDTVX59052 / Televisi...	2	21	266.00	ea	
	CurrentF	8/18/2025	T0005	TelevisionHDTVX59052 / Televisi...	2	21	155.00	ea	
	CurrentF	8/11/2025	T0005	TelevisionHDTVX59052 / Televisi...	2	21	191.00	ea	
	CurrentF	7/7/2025	T0005	TelevisionHDTVX59052 / Televisi...	2	21	306.00	ea	
	CurrentF	6/9/2025	T0005	TelevisionHDTVX59052 / Televisi...	2	21	266.00	ea	
	CurrentF	5/18/2025	T0005	TelevisionHDTVX59052 / Televisi...	2	21	155.00	ea	

Demand forecast table import to D365 FO

How do demand planning and master planning work together?

The forecast made in the Demand Planning app feeds directly into Master Planning in Dynamics 365 SCM. When you set up a master plan, you can tell the system to use a specific forecast model. This lets master planning create purchase and production suggestions, based on real demand expectations.

Benefits and considerations of using the Demand Planning app

The demand planning app brings many **advantages**:

- **Better forecast accuracy** - by using AI and machine learning to make smarter predictions than traditional methods.
- **Improved inventory management** - with clear demand insights, you can reduce overstock and avoid running out of products.
- **Lower costs** - efficient inventory means less money tied up in stocks, fewer supply chain disruptions, and reduced waste.
- **Happier customers** - having the right products available at the right time boosts customer satisfaction and loyalty.
- **Easy to use** - the app has a "no-code" approach, and you don't need deep technical skills to use it. It is user-friendly and supports planners at all levels.
- **Team collaboration** - with Microsoft Teams integration and in-app comments, it's easier for teams like sales, marketing, and operations to work together.

However, there are some **considerations** to be aware of:

- **Data quality is key** – the demand planning app is only as good as the data it receives. Incomplete or outdated data can lead to poor forecasts.
- **External factors** - even with advanced models, unexpected market shifts or external events can affect demand, if not signaled to the system.
- **Forecasting isn't perfect** - no model can predict the future exactly. New products, market changes, or surprises can cause errors.
- **Time and cost to implement** - there is an additional licensing cost for the software. Demand planning requires a Premium Supply Chain license with a minimum of 10 seats. The good news is that you can upgrade your existing Supply Chain license to the Premium version and only pay the price difference – you don't need to repurchase the entire license. When it comes to additional costs, it's also important to consider the time your team will need to invest in training and getting familiar with the tool.

Conclusion

The Demand planning app in Dynamics 365 Supply Chain Management helps businesses plan smarter, not harder.

It turns raw data into useful forecasts, supports collaboration, and connects seamlessly with Master planning to ensure your supply chain stays agile and efficient.

With the right setup and ongoing attention to data quality, it can be a powerful tool for improving planning, reducing costs, and meeting customer needs.

In this article, we've taken a general look at what Demand Planning App within Dynamics 365 Supply Chain is, why it matters, and how it connects with the Master Planning to provide a complete supply chain solution.

In the next articles, we'll take a closer look at the functionality and the capabilities of the Demand Planning app, diving deeper into the 5 steps we introduced earlier.

Stay tuned as we explore how technology can turn forecasting into a strategic advantage.